

Staff Loan Policy

Document and Version History

#	Version	Release Date	Description of Change	Created/Modified by	Approved by
1	1.0	02-08-2022	Initial	Finance Team	Gayathri V

Introduction and Objective

To provide employees with financial assistance in certain emergency situations when a salary advance is not sufficient to cover emergency financial requirements of an employee

Applicability

The policy applies to all permanent employees. This policy is also applicable to all employees active on the rolls. All employees of Ideas2IT will be bound by this policy. This policy is applicable for availing staff loan/salary advance during the association with Ideas2IT with effect from 1st August 2022.

Policy Guidelines

Eligibility Criteria:

- Loans will be granted to all employees, whose employment has been confirmed and completed a minimum of one year as on the date of loan application.
- New loan will be sanctioned only after 100% repayment of the previous loan and there must be a 3 months gap before availing the next loan. Besides, employees can avail up to a maximum of only 1 loan within a financial year.
- Loans will be granted in the following instances and at the sole discretion of the management.
 - Medical Emergencies for Self/Spouse/Parents/Siblings/Children
 - Child Education

Loan Disbursement & Repayment Details

- The maximum eligible loan amount shall be INR 2 Lakhs and will be decided at the sole discretion of the management.
- Loan recovery will be a maximum period of 12 EMI's (12 months). This will be intimated to the employee at the time of approval. Any installments which are greater than 12 months shall attract an interest at the rate of **10.25%**, which will be deducted from the salary along with the EMI and the employee has to sign the promissory note in view of the statutory requirements. The interest rate shall be reviewed by finance team on quarterly basis depending upon the changes in the bank rates.
- The repayment will be done by deducting the EMI's from the salary every month subsequently. For instance, if loan is disbursed in Month 1, deduction will start from Month 2. Cooling period for repayment of loan can be provided to a maximum of 3 months provided the repayment of loan happens within 12 months from the date of disbursement.
- The employees can close the loan by paying the entire outstanding during any time of the

tenure. In case, if an employee decides to leave the organization, the entire outstanding will become due immediately and the balance amount will be adjusted towards the full and final settlement or else the employee shall return back the entire due one month prior to the last working day to receive the “No Due Certificate”, Relieving Letter, Experience Certificate from the Company

- The employee shall give an undertaking to the Company that in case of his death/ in lieu of his leaving the service of the organization, the Company will be free to deduct his balance loan amount not only from his dues like salary/ any reimbursement including incentive, commission, performance bonus but also from his statutory dues like bonus, gratuity etc., or the employee must issue a cheque in favour of the Company.
- Relieving letter and formalities of clearance will not be completed unless all such dues are settled.
- All taxes as per Govt. Law will be applicable and will have to be borne by the employee, including a perquisite tax, if applicable.

Process of Availing Staff Loan

- The employee will have to fill in the Loan Requisition Form or draft a mail to HR department with necessary details.
- HR Dept's will check his/her entitlement and same will be forwarded to Management for their approval
- Post approval from Management, HR Dept's will forward the loan request to the Finance Department for processing.

General Guideline for Staff Loan

- Management reserves the right to conduct the necessary due diligence prior to sanctioning of any staff loan. The loan will be approved at the sole discretion of the management and they reserve the right of denial based on the outcome of the due diligence, company status etc.
- In case of any defaults in repayment of loans, management reserves the rights to take legal action against the borrower.

Disclaimer:

The applicability, eligibility and exceptions of the staff loan policy may be implemented and/or changed from time to time at the sole discretion of Ideas2IT management and such implemented and/or changed shall become applicable to the employees immediately, upon receipt of notice of the same.

References:

<https://sbi.co.in/web/interest-rates/interest-rates/loan-schemes-interest-rates/personal-loans-schemes> - (Applicable for the Quarter Jul'22 – Sep'22)(Dated 21-Jul-2022)

II. XPRESS ELITE SCHEME (Term Loan/ Overdraft)

Salary Account with SBI:

2 year MCLR	Spread over 2 year MCLR	Effective Interest Rate with No Reset
7.60%	2.40% - 3.90%	10.00% - 11.50%

Salary Account with another Bank:

2 year MCLR	Spread over 2 year MCLR	Effective Interest Rate with No Reset
7.60%	2.65% - 4.15%	10.25% - 11.75%